

The tokens can be used as collateral for any other DeFi service, such as leverage or derivatives.

We can invert this paradigm to create token bundles of groups of real-world or digital assets and trade them like an ETF. Imagine a dApp like a real estate investment trust (REIT), but with the added capability of allowing the owner to subdivide the REIT into the individual real estate components to select a preferred geographic distribution and allocation within the REIT. Owning the token means overseeing how the properties are distributed. The token can be traded on a decentralized exchange to liquidate the position.

Compared with digital assets, tokenizing hard assets, such as real estate or precious metals, is more difficult because the practical considerations such as maintenance and storage cannot be enforced by code. Legal restrictions across jurisdictions are also a challenge for tokenization; nevertheless, the utility of secure, contractual tokenization for most use cases should not be underestimated.

A tokenized version of a position in a DeFi platform is a pluggable derivative asset that is usable in another platform. Tokenization allows the benefits and features of one position to be portable. The archetypal example of portability through tokenization is Compound (see Chapter 6), which allows for robust lending markets in which a position – itself a token – can accrue variable-rate interest denominated in a given token. If, for example, the base asset is ETH, the ETH deposit wrapper known as cETH (cToken) can be used in place of the base asset. The result is an ETH-backed